

Cash flow from Operations:

All transactions where cash that is produced or consumed related to day to day business activities, together form cash flow from operations.

For example, Godavari Ispat is a power company.

- Money received for electricity sales.
 - Payment for certain expenses
 - Advances received for connections.
-) are included in operation.**

The market demands more credit, adjustments to working capital, and tax payments which are all accounted for in cash flow from operations.

Cash flow from Investing:

A company is required to provide cash when they want to invest in other businesses or say to purchase land. Whenever a company buys long term assets of any kind it is called investing.

Any long-term assets purchased by the corporation constitutes investment, and even if they are sold, the resulting proceeds together form cash flow from investing in the form of cash.

Cash flow from financing activities:

Financing activities deal with equity and debt liabilities. If a company has issued new shares, purchased back equity, distributed the dividends, taken on new debt, or repaid debt, then all these actions fall under the category of financing activities. Together they form cash flow from financing activities.

You calculate the net changes in cash flow, which is calculated as per net sum of cash flow from operations investing and financing and then added to cash positions from previous year. This will give the current cash position.

Let's say Company A used Rs. 60 Cr. of cash last year.

Net cash flow	- Rs. 60 Cr.
Previous year cash flow	+ Rs. 200 Cr.
Cash on hand	Rs. 140 Cr.

This is essentially how a cash flow statement is constructed. It tells us how the management is using its cash and places a lot of emphasis on how the cash is being utilized within the company.